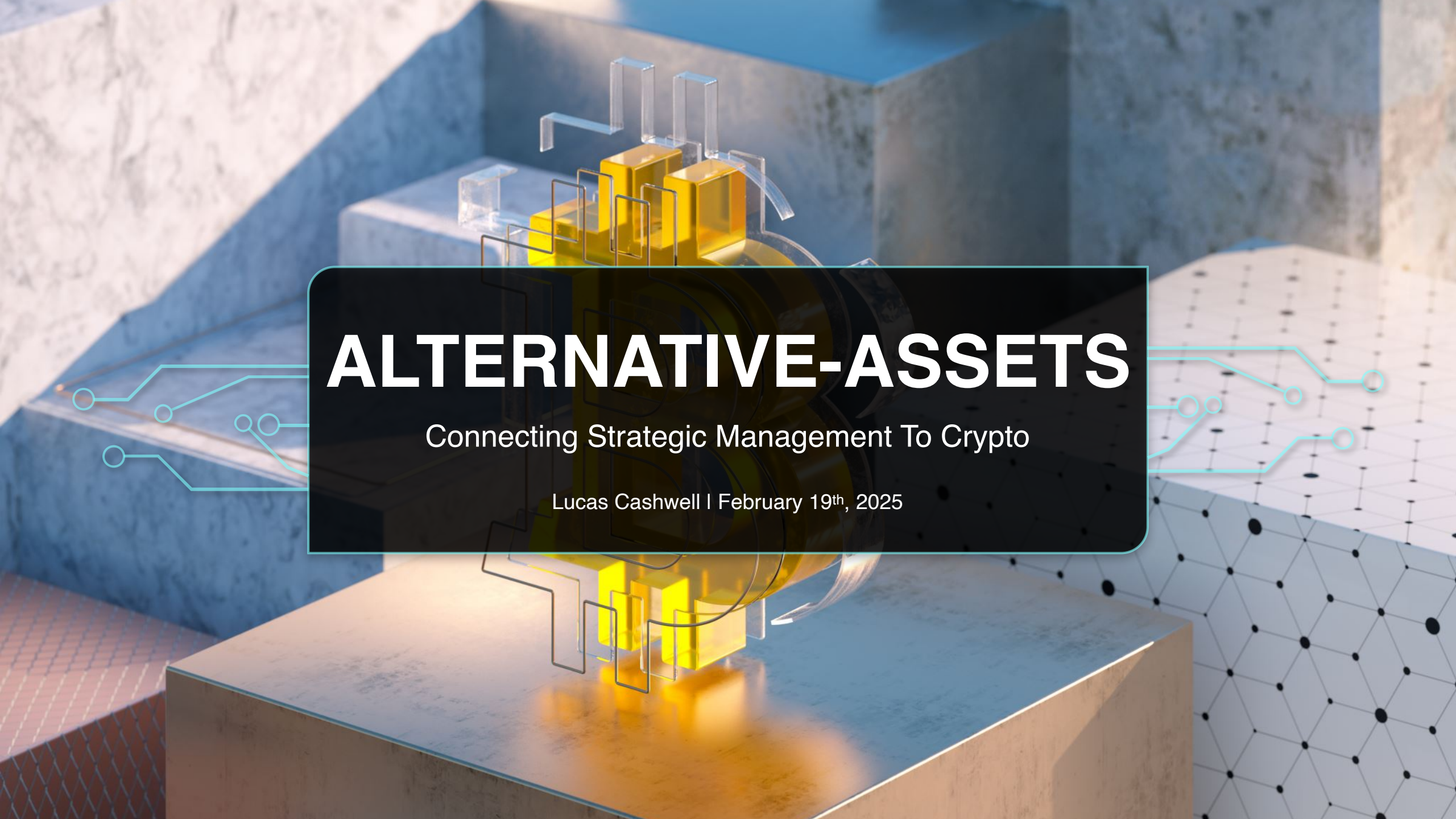


ALTERNATIVE-ASSETS

Connecting Strategic Management To Crypto

Lucas Cashwell | February 19th, 2025

SkyBridge Capital & MicroStrategy Overview

- ***Who?*** - SkyBridge is a private company with a public product: $CRPT ETF
- ***What?*** - $CRPT bets on a number alternative assets and related stocks like NVIDIA and Coinbase through direct holdings and spot ETFs
- ***How?*** - Some argued it to be the best ETF of 2024, returning 74% for the year
- ***Challenge -*** Create desirable investment tools for private and institutional investors interested in crypto despite looming regulatory and social concerns.

- ***Who? -*** MicroStrategy is a public company with a few Bitcoin-based financial products.
- ***What? -*** MicroStrategy's financial products are solely based on Bitcoin, and their main attraction is selling Bitcoin as a bond.
- ***How? –*** The stock went up 477% in 2024.
- ***Challenge -*** Create desirable investment tools for private and institutional investors interested in crypto despite looming regulatory and social concerns.

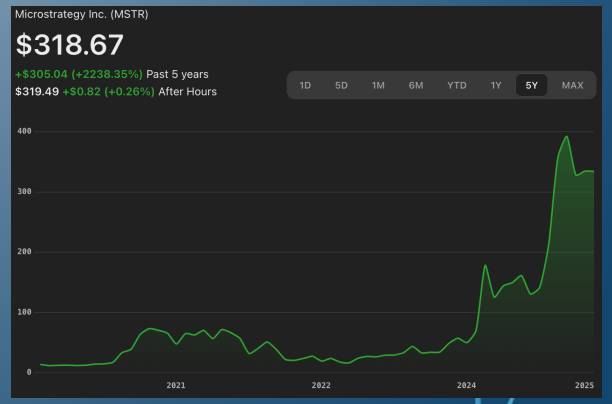
- SkyBridge pursues a **differentiation** strategy.
- Their **strength** is picking the most desirable investments in all-things-crypto, not necessarily just the best cryptocurrency.
- **Strategy**: Differentiate yourself from frauds and naysayers by selling a package of the most popular crypto investments.

- MicroStrategy pursues a **focused differentiation** strategy.
- Their **strength** is taking the scary volatility out of Bitcoin using debt, making it more attractive to risk-adverse investors who are interested in solely Bitcoin.
- **Strategy:** Differentiate yourself from frauds and naysayers by selling a less “risky” version of of the most popular cryptocurrency, Bitcoin.

Top Holdings (as of 2/18/2025)*

Holding	Percent
MicroStrategy Incorporated	18.62%
Coinbase Global, Inc. (Class A)	17.51%
Galaxy Digital Holdings Ltd.	11.80%
MARA Holdings, Inc.	8.69%
iShares Bitcoin Trust ETF	4.98%
IREN Ltd.	4.68%
Fidelity Wise Origin Bitcoin Fund	4.53%
Cipher Mining Inc.	4.21%
VanEck Bitcoin ETF	4.02%
Bitwise Bitcoin ETF	4.01%





Recommendations

- SkyBridge must continue to pick the most popular crypto-related investments for their product to be bought.
- SkyBridge should consider these options, in priority order, to keep their leadership in the crypto space:
  - Option 1: Create more specific ETFs to target sects of crypto so as to lean into their differentiation strategy (e.g., Chip Maker ETF, Alt-coin ETF, etc.).
  - Option 2: Proliferate awareness and influence public sentiment toward the crypto world through advertising and lobbying to create more favorable conditions.
  - Option 3: Offer personalized investment products to attract investors who are more risk-adverse to the crypto world, bringing in more customers.